FINANCE DEPARTMENT

Mantralaya, Mumbai 400 032, dated the 29th February 2008

NOTIFICATION

MAHARASHTRA FISCAL RESPONSIBILITY AND BUDGETARY MANAGEMENT ACT, 2005.

No.TFC.1007/CR-12/2007/F. C. Desk.—In exercise of the powers conferred by section 7 of the Maharashtra Fiscal Responsibility and Budgetary Management Act, 2005 (Mah. XVI of 2005) and of all other powers enabling it in that behalf, the Government of Maharashtra hereby makes the following rules further to amend the Maharashtra Fiscal Responsibility and Budgetary Management Rules, 2006, as follows, namely :—

1. *Short title.*—These rules may be called the Maharashtra Fiscal Responsibility and Budgetary Management (Amendment) Rules, 2008.

2. In rule 8 of the Maharashtra Fiscal Responsibility and Budgetary Management Rules, 2006 (hereinafter referred to as "the Prinicipal Rules"),—

(*i*) for clause (*g*), the following clause shall be substituted, namely :—

"(*g*) A statement on Miscellaneous Liabilities Outstanding (major works and contracts) in Form B –7."

(*ii*) after clause (h), the following clause shall be added, namely :—

"(*i*) A statement on quality of investments based on outcomes (Revenue) in Form B-9."

3. For the Forms A-1 to B-8 appended to the principal Rules, the following Forms shall be substituted, namely :—

FORM A-1

(*See* Rule 6)

Medium Term Fiscal Policy Statement

A. Fiscal Indicators - Rolling Targets.—

Item	Previous Year Actuals	Current Year Budget Estimates (BE)	Current Year Revised Estimates (RE)	Ensuing Year Budget Estimates (BE)	Targets For Next Two Years	
(1)	(2) Y-3	(3) Y-2	(4) Y-1	(5) Y-1	(6) Y	(7) Y+1	(8) Y+2
1. Revenue Deficit as percentage of GSDP.							
2. Fiscal Deficit as percentage of GSDP.							
3. Tax Revenue as percentage of GSDP.							
4. Total Debt Stock as percentage of GSDP.							
5. Total Contingent Liabilities as percentage of GSDP.							
6. Total Contingent Liabilities as percentage of Revenue Receipts							
7. Interest Payment as percentage of Revenue Receipts.							

B. Assumptions underlying the Fiscal Indicators.— Sectoral and GSDP growth rates,—

1. GSDP Growth.

2. Revenue receipts.—

(a) Tax revenue.

(b) Share of own tax revenue to total tax revenue.

(c) Non-tax revenue.

(d) Share of own non-tax revenue to total non-tax revenue.

(e) Devolution from Central Government.

3. Capital receipts.—

(a) Loans and advances from Central Government.

(b) Special securities issued to the NSSF.

(c) Borrowings from financial institutions.

(d) Other receipts (net) – Small savings,

(e) Outstanding liabilities – Internal debt and other liabilities.

(f) Recovery of loans and advances.

4. Revenue Expenditure.—

(a) Interest payments.

(b) Major subsidies.

(c) Salaries.

(d) Pensions- Including projection of pensions liabilities for ten years.

(e) Others.

5. Capital Expenditure.—

(a) Sectoral Capital outlay.

(b) Loans and advances.

C. Assessment of sustainability relating to :—

(*i*) *The balance between receipts and expenditure in general and revenue receipts and revenue expenditure in particular*.—The Medium Term Fiscal Policy Statement may specify the tax-GSDP ratio, own tax-GSDP ratio and State's share in Central tax-GSDP ratio for the current year and subsequent two years with an assessment of the changes required for achieving it. It may discuss the non-tax revenues and the policies concerning the same. Expenditure on revenue account, both plan and non-plan, may also be discussed with particular emphasis on the measures proposed to meet the overall objectives. It may discuss policies to contain expenditure on salaries, pensions, subsidies and interest payments. An assessment of the capital receipts may be made, including the borrowings and other liabilities as per policies spelt out. The statement may also give projections for GSDP and discuss it on the basis of assumptions underlying the indicators.

(*ii*) *The use of capital receipts including market borrowings for generating productive assets*.—The Medium Term Fiscal Policy Statement may specify the proposed use of capital receipts for generating productive assets in different categories. It may also spell out proposed changes among these categories and discuss them in terms of the overall policy of the State Government.

FORM A- 2

(*See* Rule 7)

Fiscal Policy Strategy Statement

A. Prospects of the State's Economy and Fiscal Policy Overview.—This paragraph will present prospects for the State's economy and an overview of the fiscal policy.

B. Fiscal policy for the ensuing financial year.—This paragraph shall have five sub-paragraphs dealing with the topics mentioned below,—

(1) *Tax Policy*.—In the sub-paragraph on tax policy, major changes proposed to be introduced in direct and indirect taxes in the ensuing financial year will be presented.

(2) *Expenditure Policy*.—Under expenditure policy, major changes proposed in the allocation of expenditure shall be indicated. It shall also contain an assessment of principles regarding the benefits and target group of beneficiaries.

(3) *Government Borrowing Lending and Investments*.—In this sub-paragraph on Government borrowings, the policy relating to internal debt, external debt, Government lending, investments and other activities; including principles regarding average maturity structure, bunching of repayments, etc., shall be indicated.

(4) *Contingent and other Liabilities*.—Any change in the policy on contingent and other liabilities and in particular guarantees which have potential budgetary implications shall be indicated.

(5) *Levy of User Charges*.—Any change proposed in the levy of user charges of public services shall be spelt out.

C. Strategic priorities for the ensuing year

(1) Resource mobilization for the ensuing financial year through tax, non-tax and other receipts shall be spelt out.

(2) The broad principles underlying the expenditure management during the ensuing year shall be spelt out.

(3) Priorities relating to management of public debt proposed during the ensuing year shall be indicated.

D. Rationale for policy changes

(1) The rationale for policy changes consistent with the Medium Term Fiscal Policy Statement, in respect of direct and indirect taxes proposed in the ensuing Budget shall be spelt out.

(2) The rationale for major policy changes in respect of budgeted expenditure including expenditure on subsidies and pensions shall be indicated.

(3) Rationale for changes, if any, proposed in the management of public debt shall be indicated.

(4) The need for changes, if any, proposed in respect of pricing of administered goods shall be spelt out.

E. Policy evaluation

This paragraph shall contain an evaluation of the changes proposed in the fiscal policy for the ensuing year with reference to fiscal deficit reduction and objectives set out in the Medium Term Fiscal Policy Statement.

FORM B-1

[*See* Rule 8(*1*)(*b*)]

Tax Revunues raised but not realised (Principal Taxes)

(Rs. lakhs)

Major Head	Description	Amounts under dispute					Amount not under dispute					Grand Total
		Over one year but less than two years	Two years and above but less five years	Five years and above but less ten years	Ten years and above	Total	Over one year but less than two years	Two years and above but less five years	Five years and above but less ten years	Ten years and above	Total	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(1)	(13)
0028	(1) Taxes on Professions, Trades and Employment											
0040	(2) Sales Tax/ VAT including taxes on Motor Spirits and Lubricants											
0040	(3) Central Sales Tax											
0045	(4) Luxury Tax											
0042	(5) Entry Tax											
0029	(6) Land Revenue											
0030	(7) Stamps and Registration Fees											

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(1)	(13)
0045	(8) Entertainment Tax											
0853	(9) Minor Minerals, etc.											
0853	(10) Major Minerals											
0039	(11) State Excise											
0041	(12) Taxes on Vehicles											
0042	(13) Taxes on Goods and Passengers											
0043	(14) Electricity Duties											
	Total ..											

Note :-—The outstanding amount pertains to the end March figures for the previous year

FORM B-2

[*See* Rule 8 *(1) (b)*]

Arrears of Non-Tax Revenue

(Rs. in Crore)

Major Head	Description	Less than one year	One year and above but less than two years	Two years and above but less than five years	Five years and above	Total
(1)	(2)	(3)	(4)	(5)	(6)	(7)
0047	**(A) Interest Receipts, Dividends and Profits**					
0049	(i) Interest Receipts					
	(a) From Departmental Commercial Undertakings					
	(b) From Public Sector and Other Undertakings					
0050	(ii) Dividends and Profit					
	(B) General Services					
0055	(i) Police Receipts					
0059	(ii) Public Works					
	(C) Economic Services					
0853	(i) Royalty Receipts					
0404	(ii) Dairy Development					
0406	(iii) Forestry and Wild Life					
0701	(iv) Major and Medium Irrigation					
0425	(v) Co-operation					
	(D) Other Receipts (Social Services)					
	Total ...					

FORM B-3

[*See* Rule 8 *(1) (c)*]

Guarantees given by the Government

Sr. No.	Name of the Department	Outstanding at the begining of the previous year (Rs. in Crores)	Additions during the year (Rs. Crores)	Deletions (other than invoked) in the year (Rs. Crores	Invoked during the year		Outstanding at the end of the year (Rs. Crores)	Total guarantee entries at the end of previous year	Guarantee Commission		Other material details
					Discharged	Not Discharged			Receivable in the previous year	Received in the previous year	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
1											
2											
3											
4											
5											
6											
7											
8											
9											
10											
11											
12											
13											
14											
15											
16											

FORM B-4

[*See* Rule 8 *(1) (d)*]

Statement on the Number of Employees and Salary Expenditure

Category of Employees (1)	Number of Employees (2)	Salary Expenditure (in Crores) (3)	Remark (4)
(A) Government			
(B) Government Aided Institutions.			
(C) Public Sector Units			
Total (A+B+C) ...			

Note :—The outstanding amount pertains to the end March figure for the previous year.

FORM B-5

[*See* Rule 8 *(1) (e)*]

Statement of Government Expenditure

	Object Head/Object of Excpenditure* (1)	Previous Year Actuals (Y-2) (2)	Current Year RE (Y-1) (3)	Ensuing Year BE (Y) (4)
1	Salaries			
2	Wages			
3	Overtime Allowance			
4	Pensionary Charges.			
5	Rewards			
11	Domestic Travel Expenses			
12	Foreign Travel Expenses			
13	Office Expenses.			
14	Rent/rates and taxes.			
15	Royality			
16	Publications			
17	Computer Expenses.			
18	Off-Day Compensation			
19	Diet Charges			
20	Other Administrative Expenses.			
21	Supplies and Materials.			
22	Arms and Ammunition.			
24	Petrol,Oil,Lubericants			
25	Clothing and Tents.			
26	Advertising and Publicity.			
27	Minor Works			
28	Professional Services.			
29	Purchase of Milk.			
31	Grants-in-aid (salary)			

FORM B-5—*Contd.*

	(1)	(2)	(3)	(4)
31	Grants-in-aid(non -salary)			
32	Contributions			
33	Subsidies(salary)			
33	Subsidies(non-salary)			
34	Scholarships/Stipend.			
41	Secret Service Expenditure.			
42	Lump-sum Provision.			
43	Suspense			
45	Interest			
50	Other Charges.			
51	Motor Vehicles			
52	Machinery and Equipment.			
53	Major Works.			
54	Investments			
55	Loans and Advances.			
56	Re-Payment of Borrowings.			
57	Livestock			
61	Depreciation.			
63	Inter-Account Transfer.			
64	Write-off Losses			
	Grand total			
70	Deduct Recoveries.			
	Net Total			

* Based on latest objectwise classification as per Government of India.

FORM B-6

[*See* Rule 8 *(1) (f)*]

Components of Government Liabilities

(Rs. in crore)

No.	Category	Outstanding amount at begininning of the year		Raised during the Fiscal Year		Repayment/ Redemption during the Fiscal Year		Outstanding amount at the end of the year		Remark
		Previous Year Acturals (Y-2)	Current Year RE (Y-1)	Previous Year Acturals (Y-2)	Current Year RE (Y-1)	Previous Year Acturals (Y-2)	Current Year RE (Y-1)	Previous Year Acturals (Y-2)	Current Year RE (Y-1)	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
1	Loans from Centre									
2	Special Securities issued to the NSSF									
3	Borrowings from Financial Institutions/Banks									
4	Market Borrowings									
5	Ways and Means /OD from RBI									
6	Providend Funds, etc									
7	Reserve Deposits									
8	Off-Budget Borrowings									
9	Other Liabilities									
	Total ...									

FORM B-7

[*See* Rule 8 *(1) (g)*]

Miscellaneous Liabilities Outstanding

	Name of Department (1)	Outstanding Amount at the end of year (Y-2) (2)
A..	Major works, contracts and supplies	
B.	Arrears of grants payable to various institutions including Panchayat Raj	

Only Major Works and Contracts above Rs. one crore each

FORM B-8

[*See* Rule 8 *(1) (h)*]

Quality of Investments Based on Outcomes (Expenditure)

No.	Sector	Indicator	Description of Units	Total amount in Previous Year (Y-1)	Total Units in Previous Year (Y-2)	Amount Per Unit in Previous year (Y-1)	Remarks
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
1	Roads	Amount spent per unit of Roads	Rs (Lakhs) / Lane kilometers.	Rs. .... Lakhs	Lane Kms	Rs. .... (Lakhs) / Lane kilometers.	
		Asphalting : New Construction		Rs. .... Lakhs	Lane Kms	Rs. .... (Lakhs) / Lane kilometers.	
		Asphalting: Black Topping only		Rs. .... Lakhs	Lane Kms	Rs. .... (Lakhs) / Lane kilometers.	
2	Roads	Water-bound macadam	Rs (Lakhs) / Lane kilometers.	Rs. .... Lakhs	Lane Kms	Rs. .... (Lakhs) / Lane kilometers.	
3	Roads	Cement concrete	Rs (Lakhs) / Lane kilometers.	Rs. .... Lakhs	Lane Kms	Rs. .... (Lakhs) / Lane kilometers.	
4	Buildings	Amount spent per unit new builiding area made usable.	Rs / Sq .mt	Rs. .... Lakhs	Sq .mt	Rs. .... sq. mt.	
5	Irrigation	Amount spent per unit of additional water storage created.	Rs (Lakhs)/million meter cube.	Rs. .... Lakhs	Mm3	Rs. .... (Lakhs)/Mm3	
6	Irrigation	Amount spent per unit increase in command area.	Rs (Lakhs)/hectares	Rs. .... Lakhs	hectares	Rs. .... (Lakhs)/hectares	
7	Watersheds	Amount spent per unit on watersheds completed.	Rs. watershed completed.	Rs. .... Lakhs	No. of watersheds	Rs. .... (Lakhs)/ watershed	

FORM B-8—*Contd.*

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
8	Watersheds	Amount spent per unit on watersheds in progress	Rs. watershed work in progress	Rs. .... Lakhs	No. of watersheds	Rs. .... (Lakhs)/ watershed	
9	Power	Power Generated	Rs/Unit Generated	Rs. .... Lakhs	mill. units	Rs. .... /unit	
10	Power	Power purchased	Rs/Unit purchased	Rs. .... Lakhs	mill. units	Rs. .... /unit	
11	Power	Power Billed	Rs/Unit Billed	Rs. .... Lakhs	mill. units	Rs. .... /unit	
12	Power	Percentage collection	% collected of that billed	Rs. .... Lakhs (collected)	Rs. ..... Lakhs (Billed)	.....%	

FORM B-9

[*See* Rule 8 *(1) (i)*]

Quality of investments based on outcomes (Revenue)

(Revenue collection from select sections)

No.	Sector	Indicator Revenue collected	Description of Units	Total amount in Previous Year (Y-1)	Units in in Previous Year	Revenue Collected Per Unit in Previous Year (Y-1)	Remarks
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
1	Forestry	From forest area	Revenue collected per hectares of forest area.	Rs. crore	hectares	Rs...../hectares	
2	Sales Tax	From Sales Tax	100 x revenue collected as a % of GSDP.	Rs. crore	GSDP at current prices (Rs. in crore)	.....%	
3	Professional Tax.	From Professional Tax	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
4	Tax on Goods and passenger.	From Tax on Goods and passenger	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
5	Electricity Duty.	From Electricity Duty	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
6	Excise Duty	From Excise Duty	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
7	Stamps and Registration.	From Stamps and Registration	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
8	Taxes on vechicles	(i) From Light weight motor vehicles	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	
9	Taxes on vechicles	(ii) From Heavy weight motor vehicles	100 x revenue collected as a % of GSDP.	Rs. crore		.....%	

By order and in the name of the Governor of Maharashtra,

SUNIL SONI,
Principal Secretary to Government.